their $2,500 a month rent payment. Unfortunately, their combined income was not even close.

John and Sue's payment was dangerously high. It consumed 60 percent of their combined net income! The credit counselor suggested that if they moved inland, they could lower their rent and eliminate their financial problems. Sue responded to this suggestion by saying, "But we love to hear the ocean when we wake up in the morning." The counselor replied, "Tape it."

Being willing to settle for a taped version of the real thing seemed like a drastic solution to John and Sue White. But if you find that your expenses exceed your income, you need to start making some hard choices. What are you prepared to give up? You first need to know where your money is going before you can make that decision. Creating a budget is the best way to solve this problem.

Despite what you may have heard, a budget is a wonderful thing. Instead of being something that restricts how you live, a budget will empower you and allow you to have control over your life. A budget is just a mathematical confirmation of your financial situation. Once you know the bottom line of your finances, a plan can then be developed to increase the amount of money available to you.

Doing a budget for the first time can be confusing without guidance. If you follow these steps it will simplify the process:

1. Figure out how much you regularly contribute to any investments and fill in the blanks in the "savings" section. Your emergency fund should have as its target no less than three months of your total expenses.
2. Fill in the expenses that are regular and do not fluctuate each month, like rent, car payment, or student loans. Then continue to step #3.